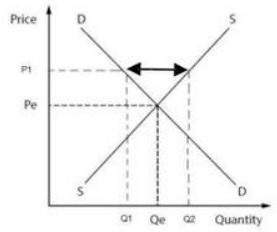
Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

2024 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is:  **C** A is not correct because this shows excess demand B is not correct because this shows an increase in supply D is not correct because this shows a movement along the supply curve	**(1)**

Question number	Which **one** of the following is a feature of a monopoly? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **C** The firm is a price-maker A is not correct because there is only one firm B is not correct because there would only be one firm in a monopoly D is not correct because barriers to entry would be high in a monopoly	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

2024 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is -1.9 and the price falls by 10%. You are advised to show your working. **Answer**	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation -10% x -1.9 **(1)** Award 1 mark for correct change in quantity demanded = 19% **(1)** Award 2 marks if the change in quantity demanded is correctly calculated as 19%, even if no calculations are shown Award 1 mark if the change in quantity demanded is calculated as 19, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term social benefits? **Answer**	Mark
2(d)	**AO1 1 mark** Award up to 2 marks for a correct definition Private benefits **(1)** plus external benefits **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** feature of an oligopoly. **Answer**	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the feature and 1 mark for development of the feature Barriers to entry **(1)** therefore fewer firms can enter the market **(1)** OR Different products **(1)** to stand apart from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

2024 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Explain **one** reason why Mostafa may want to offer this discount rather than to maximise profit. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Managers may have the objective of maximising sales **(1)**. Selling at a 10% discount means lower revenue per sale, so the shop may not maximise profit **(1),** but it may result in higher/more sales due to the lower price **(1)** • Managers may have different objectives to owners **(1)** Mostafa may want to maximise sales because it affects his salary **(1)**. The more he sells the higher his salary will be **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

2024 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the effectiveness of government regulation when dealing with externalities such as pollution. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because its effects are felt by those not producing or using the plastic bags • One method of government intervention to reduce negative externalities is the use of regulation • Regulation, such as the ban on single-use plastic bags, will limit the amount of pollution produced and reduce the externalities due to penalties if it is not followed • The ban in Kenya has led to a cleaner environment as the reduced consumption means the visual pollution and danger to livestock is less of a problem • Therefore, the regulation has been quite effective in reducing the negative externality **AO4** • However, the regulation has not solved the problem of pollution in Kenya • It costs money and takes time to monitor any illegal activity, causing an opportunity cost • The effectiveness of the regulation depends on the level of enforcement by the government and cooperation from the public • There are likely to be other problems, aside from plastic bags causing pollution in Kenya, which may need to be addressed by other methods than regulation • Other methods of government intervention may be more effective, such as fines or taxation

Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

2024 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 1 of 23 · Question 2 part g · 9 marks

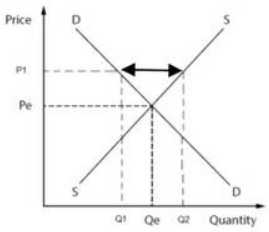
2024 JUN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	An increase in which **one** of the following is most likely to cause a decrease in the supply of labour? **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO2 1 mark**  **C**	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **D** Use of expensive technology	**(1)**

Question number	Answer	Mark
2(c)	**AO2 2 marks** Award 1 mark for showing correct calculation 19 ÷ -10 **(1)** Award 1 mark for correct price elasticity of demand (PED) = -1.9 **(1)** Award 1 mark if students show calculation and put 1.9 without the minus sign Award 2 marks if PED is correctly calculated as -1.9, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO1 1 mark** Award 1 mark for correct formula Private benefits + external benefits Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition The end user/a person who makes a purchase for their own use Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the factor and 1 mark for development of the factor • The firm may be able to access more finance **(1)** therefore it can spend more on advertising **(1)** • The firm may wish to take over competitors **(1)** so it may gain more customers **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that consumers may have habits that are hard to give up **(1).** Products containing sugar can be habit forming **(1)** and so consumers may find it difficult to stop eating sugar even though they know it is bad for their health **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 6 · find part h in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Over-harvesting sea cucumbers can prevent the marine animal from keeping the coral reef ecosystem healthy and so presents negative externalities • One method of government intervention to reduce negative externalities is the use of fines • In an attempt to reduce over-harvesting, the government fined the owner of Orient Seafood Production (OSP) $1.5m for failing to report harvests of 113,400 kg of sea cucumber in a two-year period • This should stop OSP from over-harvesting again in the future • This would act as a deterrent to other firms that may be considering over-harvesting **AO4** • However, it costs money and takes time to police over-harvesting and impose fines on illegal activity • OSP had already harvested 113 400 kg in two years before being fined, this could already have caused a great deal of damage to the coral reef ecosystem • OSP has already made high profits from over-harvesting and so the fine may not be enough of a deterrent • There is a growing demand in China and sales of sea cucumber are profitable so firms may think it is worth risking being caught and being fined • Other methods of government intervention may be more effective

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 2 of 23 · Question 2 part h · 9 marks

2020 JAN · Paper 01 (regional R) · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 3 of 23 · Question 3 part e · 9 marks

2020 JAN · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **D** Higher taxation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **C** depreciation	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is a fall in demand for Egyptian exports **(1).** Inflation of 17.7% makes domestic goods more expensive **(1)** so other countries may not buy Egyptian goods resulting in a deficit on the current account **(1)**. • One impact is an increase in imported goods **(1).** Inflation of 17.7% makes imports appear cheaper than Egyptian goods and services **(1)** so consumers prefer to purchase imports therefore having a negative impact on the current account **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 3 of 23 · Question 3 part e · 9 marks

2020 JAN · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Currency speculators have an impact on the exchange rate of a country due to supply and demand factors • Speculators will buy more currency if they believe that the exchange rate of the US$ will rise in the future. • The increase in demand for the currency causes the value of the exchange rate to rise compared to other currencies. • Conversely, the value of the exchange rate may fall if speculators sell a currency if they believe that the exchange rate will fall. • This causes a fall in the value of the currency due to an increase in the supply available. • The impact of speculators is often that their actions bring about what they predict will happen.

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 3 of 23 · Question 3 part e · 9 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The use of regulation could be an effective way to reduce usage especially as the fine of AUS$5 000 is very high • This could stop retailers issuing plastic bags to customers thereby reducing the chance of plastic bags ending up in litter • Most consumers and retailers will want to follow the regulations and will therefore not use plastic bags • This is supported by the Environment Minister who states that this is a popular policy with many people **AO4** • However, banning plastic bags by regulation and issuing fines does not mean its consumption will completely reduce demand • The plastic bags have been banned since 2018 but no fines have been given out for using the plastic bags • The effectiveness will also depend upon shoppers reporting retailers for giving out plastic bags • There needs to effective policing of the ban for it to work properly

Type MS · Regulation, fines and pollution permits

Answer 3 of 23 · Question 3 part e · 9 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 3 of 23 · Question 3 part e · 9 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

Number		
2(a)	**AO2 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** **D** Indirect taxes	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct method. • taxation • subsidy • regulation • fines • pollution permits • government provision of parks Accept any other appropriate responses.	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to standard of living and 1 mark for reference to typical standards in society The standard of living is below **(1)** the typical living standards in that society **(1)**. **OR** In the EU it is 60% **(1)** of the median income **(1)** Accept any other appropriate responses.	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage using a fine Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that this can raise a large amount of revenue **(1)**. The parking fines have raised £10.4m which could be used to improve public services **(1)** This can lead to increased economic growth in the Manchester area **(1)**. • One advantage is that it stops motorists parking illegally **(1)**. Having to pay a fine of £30 reduces the income of motorists **(1)**. This means that there might be an increase in the number of people using public transport rather than cars **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the possible reason Award 1 mark for the response being in context • One reason is that not all income from earnings is declared/the hidden economy **(1)**. Some people under declare their earning from jobs such as taxi driving **(1)**. This reduces the amount of Greece's GDP which is accurately recorded **(1)**. • One reason is some countries record GDP differently **(1)**. Some activities such as subsistence farming in Greece may not be included in GDP figures **(1)**. Therefore, Greece's GDP figures may not be an accurate record of the total economic activity in an economy **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Seasonal workers are employed at particular times of the year when demand for labour is higher than usual • Seasonal employment is often associated with industries such as agriculture, tourism and construction • The New Zealand Government could use supply-side policies to try and encourage the recruitment of more seasonal workers into the kiwifruit industry • This can be done by offering financial incentives to firms for training and hiring the long term unemployed in the area to work on the kiwifruit farms • The New Zealand Government could ensure that there are lower income tax rates to encourage working rather than relying on welfare benefits • The New Zealand Government may offer financial incentives for the kiwifruit growers to invest in more capital intensive farming methods which remove the need for labour **AO4** • However, supply-side policies can take a very long time to be effective • Training and the hiring of new workers may take a long time and the industry needs 1,200 workers immediately to pick the remaining 70% of the crop • Many workers may prefer to remain unemployed due to the seasonal nature of the industry, preferring more stable employment • There is a financial cost to the government of offering any incentives to the kiwifruit industry which could be spent on other areas of the economy • It could be argued that the shortage of workers should be resolved by the kiwifruit industry rather than the government and the shortage could be due to poor wages or working conditions

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 4 of 23 · Question 2 part e · 3 marks

2020 JAN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** **C** Monopoly	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** **B** Consumers have habits that are hard to give up	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for correct formula in words/as an equation $\frac{\text{\% change in quantity supplied}}{\text{\% change in price}}$	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for identifying the variable costs 2 000 + 15 000 **(1)** Award 1 mark for calculating total variable costs = 17 000 QR **(1)** Award 2 marks if total variable costs are correctly calculated as 17 000QR, even if no calculations are shown Award 1 mark if total variable costs are correctly calculated as 17 000 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to obtaining control of another firm One firm buys control of another firm Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason In the short term, consumers may not be able to find an alternative product to switch to **(1)** and so it is only in the longer term that they have more opportunity to look for substitutes **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that a fine may encourage the driver to stay within the speed limit **(1)** because driving too fast may cause accidents **(1)** therefore, fines are likely to reduce the number of accidents and reduce negative externalities **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is when government organisations provide goods and services in an economy • The private sector is when the provision of goods and services is by businesses that are owned by individuals or groups of individuals • The economic problem is what, how and for whom to produce when there are finite resources to meet infinite wants • In the private sector businesses such as those producing electronics in Japan, are likely to want to meet the business objective of profit maximisation • Therefore there are likely to be fewer wasted resources, as firms try to keep costs as low as possible when meeting the demand from consumers. This is because resources are likely to be allocated according to the forces of supply and demand • It may therefore rely more on private sector ownership because this is likely to be more efficient when producing goods and services that consumers want, such as clothes, leisure and entertainment • This would mean private sector ownership is more effective in solving the economic problem **AO4** • However, with public sector ownership, the best interests of the public are more likely to be the main objective • Therefore reliance on mostly public sector ownership is likely to be more effective for goods and services that may not be produced in high enough quantities by private sector ownership, such as education, health and street lighting • Although public sector ownership may not be the most efficient, without it, resources may not be used to produce everything needed within an economy • Therefore countries such as Cuba may benefit more from producing with a higher reliance on public sector ownership when trying to solve the economic problem

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 5 of 23 · Question 2 part g · 3 marks

2020 NOV · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

Question number	Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **C** Y -0.5 A is not correct because it shows elastic demand B is not correct because this shows unitary elasticity D is not correct because the responsiveness is equal	**(1)**

Question Number	Which **one** of the following is the formula for calculating average cost? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: Total cost **C** ---------- Quantity produced A is not correct because not only fixed cost is included B is not correct because revenue is not used in this calculation D is not correct because not only variable cost is included	**(1)**

Question Number	State **one** reason why governments intervene in the economy. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a suitable reason • To correct market failure • Lack of competition • Lack of information Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Calculate the **profit or loss** for the firm for each pair of shoes. You are advised to show your working. Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation $89 - ($17 + $35) **(1)** Award 1 mark for correct profit = $37 **(1)** Award 2 marks if profit is correctly calculated as $37, even if no calculations are shown Award 1 mark if the answer given is 37 with or without calculations shown Do not award marks for a formula	**(2)**

Question Number	Define the term fine. Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for a correct definition A financial penalty Accept any other appropriate response	**(1)**

Question Number	Describe **one** benefit to consumers of privatisation. Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for development of the benefit Firms are likely to offer lower prices **(1)** because they are trying to attract custom away from competitors **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** reason why Microsoft might have patents on its designs. Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it would prevent competitors copying the designs **(1)** meaning Microsoft could charge higher prices to help recover the cost of research and development **(1)** needed to create the new computer software **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether a firm, such as a fast food restaurant, always benefits from using division of labour. Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Division of labour is where the production process is split into small tasks • It means that each worker can specialise on a single part of the production process, such as chopping lettuce to put in burgers or peeling potatoes to make the fries • This means they can become more skilled at that particular task and removes the need to move around the kitchen as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Employees may also enjoy their job more because they are better at it, making them more motivated and increasing productivity • Therefore customers at the fast food restaurants can be served more quickly, in-keeping with the concept of 'fast food' and leading to higher profits for the firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as frying burgers • Therefore they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the restaurant if it needs to replace employees • Mistakes or slow production at one stage (such as chopping lettuce) may hold up a later stage and therefore customers would still need to wait for their orders

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 6 of 23 · Question 2 part e · 1 mark

2021 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following factors may cause a shift of the demand curve? Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 1 of 6 · find part h in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **B** X A is not correct because there will be no unemployed resources C is not correct because it is not achievable D is not correct because all resources will be fully employed	**(1)**

Question number	Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** employee rights A is not correct because consumers are not members of the union B is not correct because this is not the responsibility of a trade union D is not correct because trade unions are independent of the government	**(1)**

Question number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for a correct reason • Size of market • Nature of market (niche) • Lack of finance • Aims of the entrepreneur Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 2 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 2.7/4.9 **(1)** Award 1 mark for correct PES = 0.55 **(1)** Award 2 marks if PES is correctly calculated as 0.55, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
2(e)	**AO1 1 mark** Award 1 mark for reference to a firm setting the market price A dominant firm sets the price in the market Accept any other appropriate response	**(1)**

Question number	Answer	Mark
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason A computer can be used to help make goods and services **(1)** therefore a computer is capital **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 3 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant factor Award 1 mark for developing the response Award 1 mark for the response being in context • Access to finance. **(1)** Abi would need to obtain more money to be able to move to larger premises. **(1)** She may not have enough/be able to borrow enough finance to fund the expansion **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 4 of 6 · find part h in this mark scheme extract

Question number	Indicative content
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Negative externalities are spillover effects on third parties due to consumption/production • Pollution is an example of a negative externality because it is created by high volumes of traffic and has an external cost to people in Jakarta • One method of government intervention to reduce negative externalities is the use of regulation • These regulations will limit the amount of pollution produced and reduce the externalities • The Indonesian Government introduced the traffic-free regulation in an attempt to reduce pollution levels in Jakarta because less traffic should lead to less fumes being emitted into the environment • The regulation covers over 8 km of Jakarta's streets on a Sunday, meaning a section of the city is not subjected to the negative externality of traffic fumes during this time • In 2016 air-quality had improved by 65% since the regulations were introduced, meaning the regulations have been quite effective in reducing the negative externality **AO4** • However, there is no guarantee that the reduced pollution level is a direct result of the traffic-free regulation • Other measures may be in place such as the taxation on fuel • The effectiveness of the regulations depends on the level of enforcement from the government and cooperation from the public • The number of vehicles registered in the area is increasing, meaning that pollution is also likely to increase again • There are likely to be other factors causing pollution in the city, such as from factories

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 5 of 6 · find part h in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 7 of 23 · Question 2 part h · 9 marks

2021 NOV · Paper 01 · extract 6 of 6 · find part h in this mark scheme extract

Question number	Answer	Mark

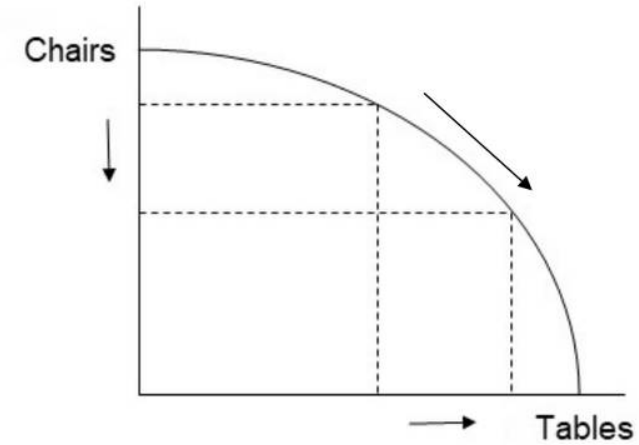
Type MS · Regulation, fines and pollution permits

Answer 8 of 23 · Question 3 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** government intervention A is not correct because a pollution permit is not a resource used to produce goods and services C is not correct because a pollution permit does not have reduced average costs due to expansion D is not correct because these are things expected to be true although there is no definite proof	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** Increase in the use of fertiliser B is not correct because this would lead to a decrease in productivity C is not correct because this is not related to the productivity D is not correct because this would lead to a decrease in productivity	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes **(1)** Award 1 mark for showing a decrease in chairs on the PPF **(1)** Award 1 mark for showing an increase in tables on the PPF **(1)**  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 8 of 23 · Question 3 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Vaccinations such as the MMR would provide an external benefit to people who do not receive the vaccination because there is less chance of contracting measles, mumps or rubella • This is because if more people are vaccinated with MMR, there is less chance of them passing on the diseases • Therefore there would be fewer people in England with measles, mumps or rubella, even if they did not receive the vaccination themselves • The NHS would prefer more children to have the vaccination because it would reduce the spread of disease • A healthier workforce would lead to higher levels of production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 8 of 23 · Question 3 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product, productivity and availability of substitutes, such as machines • This means that the advancement of technology in the retail sector has seen labour being replaced by machines • Therefore, fewer employees would be needed in shops such as those in town centres, especially as at least 10% of shops have been vacant for the last five years • As a result, the demand for labour is likely to be reduced by the availability of substitutes **AO4** • However, labour is still needed to develop, build and maintain the machines • As the percentage of online sales is now above 20% of total retail sales, more employees will be needed to meet this online demand, including warehouse operatives and postal workers to deliver retail orders • Therefore, although certain types of labour may reduce (such as shop workers), other types may increase (such as software developers) • As a result, the demand for labour will not always be reduced due to the availability of substitutes

Type MS · Regulation, fines and pollution permits

Answer 8 of 23 · Question 3 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 8 of 23 · Question 3 part a · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Question number	Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 9 of 23 · Question 1 part i · 6 marks

2022 JUN · Paper 01 · extract 1 of 5 · find part i in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Enterprise A is not correct because it is not a resource used in production B is not correct because it is not used to produce goods/services D is not correct because it is consumed by diners	**(1)**

Question number	Answer	Mark
1(b)	**AO2 1 mark** The only correct answer is: **D** $3 200 000 A is not correct because this is $160 x $120 B is not correct because this is 20 000 + $160 C is not correct because 20 000 x $120	**(1)**

Question number	Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to an increase in demand and 1 mark for reference to increased income Goods for which demand will increase **(1)** as incomes increase **(1)** **OR** Goods for which demand will decrease **(1)** as incomes decrease **(1)** Accept any other appropriate response	**(2)**

Question number	Answer	Mark
1(d)	**AO1 1 mark** Award 1 mark for correct formula • Private benefits + external benefits	**(1)**

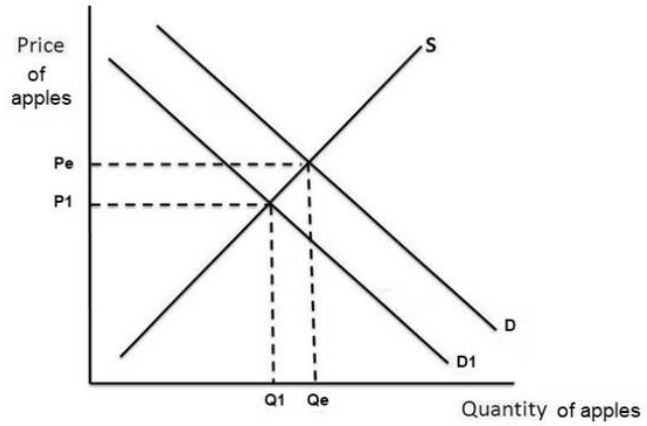
Type MS · Regulation, fines and pollution permits

Answer 9 of 23 · Question 1 part i · 6 marks

2022 JUN · Paper 01 · extract 2 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A specialised market for a particular product Accept any other appropriate response	**(1)**

	Answer	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 4.7%/5.4% **(1)** Award 1 mark for correct PES = 0.87 **(1)** Award 2 marks if PES is correctly calculated as 0.87, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 9 of 23 · Question 1 part i · 6 marks

2022 JUN · Paper 01 · extract 3 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark
1(h)	**AO2 3 marks** Award 1 mark for identifying a disadvantage Award 1 mark for developing the response Award 1 mark for the response being in context • Employees may find the work boring/monotonous **(1)** because they spend the whole day sealing boxes for the orders **(1)** and they are repeatedly doing the same task **(1)** Accept any other appropriate response	**(3)**

Question number	Indicative content
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Consumers are more likely to return plastic bottles because of the scheme, so they are able to get their €0.25 back • This is likely to reduce litter and the negative impact on the environment, therefore reducing negative externalities • The scheme is also cheaper for the government, meaning more funding could be available to benefit the environment • The 98.5% return rate shows the regulation is very successful and likely to reduce negative externalities significantly • More awareness of the problems caused by plastic bottles could be gained through adoption of the scheme, leading to better prevention of other plastic waste being discarded • This can have further long-term benefits for the environment

Type MS · Regulation, fines and pollution permits

Answer 9 of 23 · Question 1 part i · 6 marks

2022 JUN · Paper 01 · extract 4 of 5 · find part i in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 9 of 23 · Question 1 part i · 6 marks

2022 JUN · Paper 01 · extract 5 of 5 · find part i in this mark scheme extract

Question number	Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **D** More firms allowed to enter a market A is not correct because this would mean more regulations to implement it B is not correct because this increases the amount of regulation C is not correct because regulations would be needed to oversee the issuing of licences	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** An increase in wage rates A is not correct because this would lower costs B is not correct because this is likely to increase supply of raw materials and therefore reduce cost-push inflation D is not correct because this likely to cause demand-pull inflation rather than cost-push inflation	**(1)**

Question Number	Explain one reason why the UK Government gives subsidies to firms in the renewable energy market. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect the environment **(1).** Subsidies encourage firms to provide energy from renewable sources such as solar energy **(1)** which reduces the pollution from fossil fuels **(1)** • One reason is to lower the cost of renewable energy **(1).** Subsidies allow renewable energy firms to lower prices **(1)** encouraging consumers to switch to cleaner energy sources **(1)** Accept any other appropriate response.	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Analyse the benefits of having a fiscal surplus for a country such as Nauru. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fiscal surplus is when government tax receipts are greater than government spending • In this case, Nauru had a surplus of 16.1% of GDP in 2019 • The Government of Nauru could use the fiscal surplus in several ways • It could use the surplus to reduce taxes for the 10,824 population of the island • Alternatively, it could fund new education and training programmes or improve existing public services such as healthcare • If the Government of Nauru has any government debts, it has extra funds to repay them • This reduces the interest payable on any debt and helps the economy in the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Assess the effectiveness of pollution permits in protecting the environment for a country such as the US. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in the US state of Colorado • Pollution permits are a market-based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as power stations a legal right to pollute up to a certain amount • If a power station produces less pollution/waste it can sell its pollution permits to other power stations/firms • Permits create a financial incentive to pollute less because power stations can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement and it is difficult to know how many permits to give out to power stations/firms in Colorado • If the US Government is too generous in the level of pollution the permit allows, there will be little pollution reduction • If the US Government is too strict in the level of pollution the permit allows, power stations/firms may complain it adversely affects output because they cannot comply • There may be an incentive to cheat and hide the amount of pollution a firm creates. This could make the scheme ineffective • There are alternatives to pollution permits which may be more effective such as fining the power stations on the amount of waste produced • A combination of measures may be the most effective way to protect the environment	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 10 of 23 · Question 3 part e · 9 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage of spending on all existing infrastructure projects that was spent on renewable energy on India in 2019. You are advised to show your working. **Answer**	Mark

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 11 of 23 · Question 2 part d · 2 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

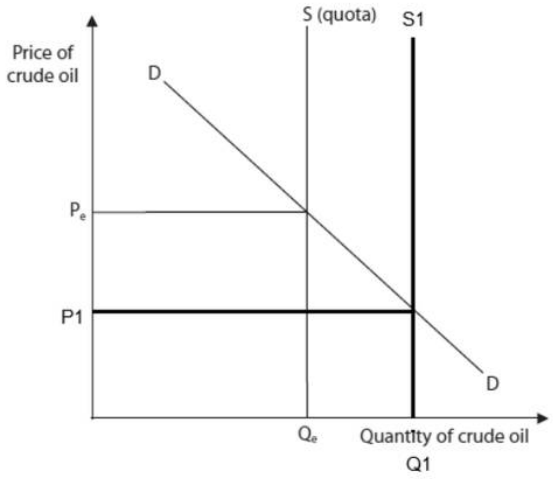
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 11 of 23 · Question 2 part d · 2 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 11 of 23 · Question 2 part d · 2 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 11 of 23 · Question 2 part d · 2 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 11 of 23 · Question 2 part d · 2 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Structural A is not correct because this occurs due to seasonal factors B is not correct because this is when people choose not to work D is not correct because this is caused by fluctuations in the economic cycle	**(1)**

Question Number	What would be the annual amount of interest earned on £7 000 of savings if the interest rate was 3% per annum? **Answer**	Mark
2(b)	**AO2 1 mark** The only correct answer is: **B** £210 A is not correct because this is calculated by £7000 x 0.003 C is not correct because this is calculated by £7000 - £210 D is not correct because this is calculated by £7000 + £210	**(1)**

Question Number	State **one** advantage of free trade. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** advantage • Lower prices • Increased choice for consumers • Wider markets for business Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

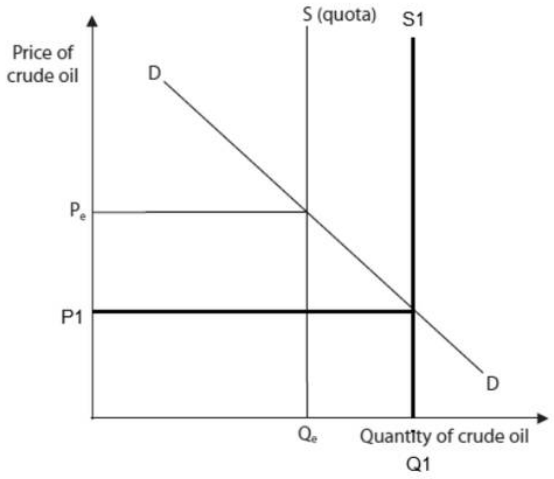
Question Number	What is meant by the term pollution permits? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to legal right and 1 mark for reference to limiting the amount of pollution They give firms the legal right **(1)** to discharge a certain amount of polluting material **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** way an airport can cause damage to the environment. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is noise pollution **(1).** Aircraft constantly landing and taking off **(1)** results in additional noise for the local residents who live close to the airport **(1)** • One way is air pollution **(1).** Fumes from aircraft landing and taking off **(1)** can cause poor air quality in the area around the airport **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effect of the introduction of the new quota. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the effectiveness of using fines to protect the environment in a country such as the UK. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Fines are a financial penalty when a firm breaks environmental laws • Thames Water has been fined £2.3m for polluting a stream in the UK • This will therefore have a negative effect on Thames Water's profits and provide an incentive to not pollute the environment in the future • It may also harm the public image of Thames Water and therefore result in lower investment in the firm • Fines act as a polluter pays principal and the money from the fine can be used to clear up environmental damage • Fines should therefore act as a financial incentive for firms to comply with environmental laws **AO4** • However, many firms continue to pollute despite fines being levied against them including Thames Water • Thames Water has already been fined £24.4m for nine other cases of water pollution demonstrating that this has had very little impact on the firm and its actions • In order for the fine to be effective, it must be large enough to ensure firms do not pollute • Thames Water made £513.4m operating profit in 2020 so the fine is quite small in comparison to its profits • This has led to a situation where the benefits from non-compliance far outweighs the potential fines for polluting • It can take many years for firms to be fined – it has taken over 5 years to bring Thames Water to court making fines a very ineffective way of protecting the environment	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 12 of 23 · Question 2 part g · 9 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** invisible exports A is not correct because this is trade in goods leaving the country B is not correct because this is trade in goods entering the country D is not correct because this is money leaving the country	**(1)**

Question Number	Which **one** of the following is likely to help protect the environment? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** An increase in fines B is not correct because this will allow more pollution C is not correct because this will reduce control of pollution D is not correct because this will reduce protected areas of the environment	**(1)**

Question Number	State **one** possible disadvantage of economic growth. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Inflation • Damage to the environment • Using up unsustainable resources Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

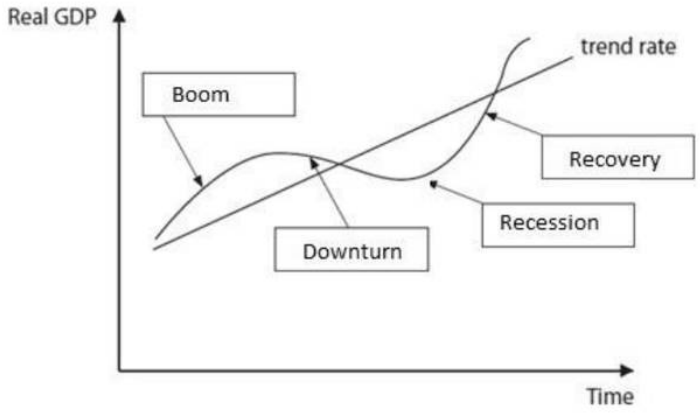
Question Number	What is meant by the term privatisation? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to selling a government controlled activity and 1 mark to private investors The act of selling a company/activity controlled by the government **(1)** to private investors **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to meet basic needs **(1)**. Many people do not have enough income for food and shelter **(1)**. By investing £37.2m fewer low income households may suffer from poverty **(1)** • One reason is to raise standards of living **(1).** Low income households would be able to access more goods and services **(1)** resulting in fewer low income households suffering from relative poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw and label the remaining **three** stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for downturn, labelled Award 1 mark for recession, labelled Award 1 mark for recovery, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A depreciation is where the value of currency falls relative to another currency • A depreciation of the US dollar against the Australian dollar may result in an increase in the amount of exports of goods between the US and Australia • This is because US exports are now cheaper to purchase as fewer Australian dollars are required to be exchanged for US dollars • This could result in more exports of machinery, vehicles, medical instruments and aircraft between the two countries • This could further improve the trade balance between the US and Australia if more exports are traded compared to imports **AO4** • However, a depreciation of the US dollar may not result in an overall increase in exports of goods between the US and Australia • The impact will depend on the size and duration of the depreciation • The impact will also depend on PED for US exports • The amount of goods traded between the two countries will not just depend on the exchange rate between the US and Australia • The quality of US exports is a factor in whether Australia will purchase more US made goods, not just the exchange rate	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 13 of 23 · Question 2 part b · 1 mark

2023 JAN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150? **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Percentage change in quantity supplied / Percentage change in price A is not correct because this is the formula for PED B is not correct because this does not relate to PES D is not correct because this formula is not used in economics	**(1)**

Question number	A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river. This is an example of which **one** of the following? **Answer**	**Mark**
2(b)	**AO2 1 mark** The only correct answer is: **A** A fine B is not correct because this would give a firm permission to do something C is not correct because this would encourage production due to reducing cost D is not correct because this is added to production costs or sale price	**(1)**

Question number	State **one** example of an external benefit. **Answer**	**Mark**
2(c)	**AO1 1 mark** Award 1 mark for an example of an external benefit • Education • Healthcare • Vaccinations Accept any other appropriate response	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

	Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working. **Answer**	**Mark**
2(d)	**AO2 2 marks** Award 1 mark for showing correct calculation 1.9%/-1.2% **(1)** Award 1 mark for correct PED = -1.58 **(1)** Award 2 marks if PED is correctly calculated as -1.58, even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	Define the term entrepreneur. **Answer**	**Mark**
2(e)	**AO1 1 mark** Award 1 mark for a correct definition An individual who organises the factors of production Accept any other appropriate response	**(1)**

Question number	Describe **one** reason why water is a factor of production. **Answer**	**Mark**
2(f)	**AO1 2 marks** Award 1 mark for reference to the reason and 1 mark for development of the reason Water is a natural resource that can be used by firms in production **(1)** therefore water is classed as land **(1)** Accept any other appropriate response.	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question number	Explain **one** effect on the supply of rice following a change in its equilibrium price. **Answer**	Mark
2(g)	**AO2 3 marks** Award 1 mark for identifying a relevant effect Award 1 mark for developing the effect Award 1 mark for the response being in context • A price increase would increase the quantity supplied **(1)**. An increase from $2.20 to $2.30 results in a higher quantity **(1)** because producers would increase profits **(1)** • A price decrease would decrease the quantity supplied **(1)**. A decrease by $0.10 results in a lower quantity **(1)** leading to a movement along the supply curve **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks. **Indicative content**
2(h)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The public sector is a part of the economy which is owned by the government and which operates in the public interest • It places dependence on the state for production of goods and services and places a high degree of importance on the state controlling this production • The state plays a key role in the provision of key public services such as; education, healthcare, social care and infrastructure • Amongst the aims of this sector are reducing social costs and increasing social benefits • If the public sector is responsible for the creation and maintenance of outdoor areas or parks, the space would be available to everyone, providing a social benefit • This could improve the health of anyone who uses these areas, meaning that there is less need for healthcare and so less public spending would be required in this area, reducing social costs **AO4** • If the public sector uses its finances to create/maintain parks it means less government revenue would be available for other things such as health and education • There is a cost in creating and maintaining the parks which must be funded by the government • The opportunity cost of providing more land for parks is the potential loss of housing and infrastructure • If parks provided by the government become too busy to be enjoyed or to provide suitable opportunities for people's health to benefit, it may be necessary for private sector funding to help provide outdoor areas or parks • This is likely to involve charging for access which would restrict availability for all and associated health benefits

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 14 of 23 · Question 2 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question number	A minimum wage is a type of Answer	Mark

Type MS · Regulation, fines and pollution permits

Answer 15 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 1 of 4 · find part c in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation (22,200 + 21,000 + 20,250) - 60,000 **(1)** Award 1 mark for correct excess demand 3,450 **(1)** Award 2 marks if excess demand is correctly calculated as 3,450 even if no calculations are shown Do not award marks for a formula	**(2)**

Question number	With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force. **Indicative content**
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The free rider problem is when a person enjoys the benefit of a good without paying for it • The Zambian defence force is an example of a public good as it is provided by the government in Zambia • It is non-excludable, meaning no one can be excluded from benefitting from the defence even if they have not paid for its provision • Having the defence force increases the standard of living for citizens of Zambia but if left to the private sector to provide, individuals would not pay for it • One person benefitting from country's defence will not reduce the amount available for others; it has non-rivalry • Therefore, the free rider problem leads to the need for the provision of defence by the Zambian Government

Type MS · Regulation, fines and pollution permits

Answer 15 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 2 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 15 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 3 of 4 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of government regulations in dealing with externalities such as air pollution in Greater Manchester. **Indicative content**
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Government regulation is put in place to reduce the external costs of production and consumption • Drivers of polluting vehicles are less likely to drive in the region, or will need to replace their vehicles when faced with a daily charge of between £7.50 and £60.00 • This is likely to reduce pollution and the negative impact on the environment, therefore reducing negative externalities • The scheme would also raise money for the government, meaning more funding could be available for schemes to benefit the environment • The 800km^2 covered by the CAZ is a very large area, meaning the 1,000+ annual deaths will hopefully be reduced as a result of the scheme • More awareness of the problems caused by vehicle emissions could be gained through adoption of the scheme, leading to better prevention of pollution in the future **AO4** • However, as the proposal will affect many small businesses in the area, their costs will increase considerably • This means that these firms may not be able to afford the tax, such as the ice-cream firm expects costs to rise by £29 000 a year, or to replace its vehicles and may need to pass the charges on to customers • Therefore, some firms may lose business if their customers are unwilling/unable to pay the higher prices • This could lead to firms needing to close down, potentially causing prices to rise for customers in the area anyway, if there is limited competition • It may depend on the value placed on clean air by firms driving the vehicles and by customers, as to whether higher prices will be paid • It may also depend on the profits/income of firms/customers, as to the impact of the charges and therefore whether negative externalities will actually be reduced • There may be better ways to reduce air pollution, such as encouraging people to walk short distances rather than drive

Type MS · Regulation, fines and pollution permits

Answer 15 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 01 · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Regulation, fines and pollution permits

Answer 16 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 4 · find part c in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. 251,000 x 100 **(1)** 9,210,000 Award 1 mark for the correct answer. = 2.73% **(1)** Award 2 marks if the percentage change of 2.73% is accurately calculated with or without workings shown Award 1 mark if % is missing i.e. 2.73 with or without calculations shown Do not award marks for formula	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Regulation, fines and pollution permits

Answer 16 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 4 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on exports for a country such as the Netherlands. Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inflation is a sustained increase in the general price level in an economy • Figure 5 shows that inflation has steadily increased since January 2021 when it was 1.6% to 5.2% in November 2021 • This is a significant increase in the rate of inflation over a short period of time • Higher rates of inflation in the Netherlands could result in the rising price of its exports • This could result in lower demand for exports resulting in a negative impact on the current account • This could be the case if inflation rates are much lower in other countries compared to the Netherlands • Firms that export may struggle to survive with higher rates of inflation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

19

Type MS · Regulation, fines and pollution permits

Answer 16 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 4 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the effectiveness of using pollution permits to protect the environment of a country such as the Netherlands. Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Business activity can damage the environment as it has done in Ijmuiden in the Netherlands causing poor air quality in the area from dust • Pollution permits can be used as a market based scheme aimed at reducing pollution and trying to encourage firms to reduce the quantity of pollution they create • Pollution permits involve giving firms such as Tata Steel a legal right to pollute up to a certain amount • If a steelworks produces less pollution/waste than it is permitted to do so it can sell its pollution permits to other steel manufacturers • Permits therefore create a financial incentive to pollute less because firms such as Tata Steel can then sell their excess permits to other firms • It can be a good way to reduce pollution, using the incentives of the market **AO4** • However, in practice, pollution permits can be difficult to implement • It is difficult to know how many permits to give out to firms in the Netherlands • If the government is too generous in the level of pollution permits it issues to firms such as Tata Steel, there will be little pollution reduction • If the government is too strict in the amount of pollution permits it issues to firms such as Tata Steel it may complain it adversely affects output because they cannot comply and because Tata Steel is a major employer and provides many jobs, unemployment may rise • There are alternatives to pollution permits which may be more effective such as fining the steelworks on the amount of waste produced or using taxation which could then be used to tackle air pollution caused by the steelworks • A combination of measures may be the most effective way to protect the environment	**(12)**

20

Type MS · Regulation, fines and pollution permits

Answer 16 of 23 · Question 4 part c · 12 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 4 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

21

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 1 of 7 · find part d in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increased economic growth A is not correct because it is likely to create more job opportunities B is not correct because it will make it easier and cheaper for firms to trade internationally D is not correct because it can make it easier and cheaper for consumers to purchase goods and services	**(1)**

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following types of unemployment is caused by changes in the business cycle? **Answer**	Mark
2(b)	**AO1 1 marks** The only correct answer is: **D** Cyclical A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs B is not correct because this occurs due to seasonal changes in the demand for labour C is not correct because this occurs when workers are in between jobs or transitioning to a new career	**(1)**

Question Number	State **one** possible impact of a current account deficit. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Leakage from the economy • Problems finding foreign currency reserves to fund the deficit • Can be inflationary • Increasing unemployment • Falling output/GDP Accept any other appropriate response	**(1)**

Question Number	What is meant by the term fines? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

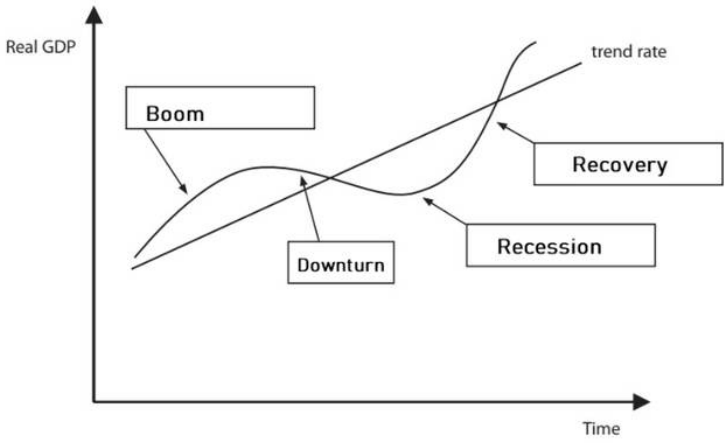
2024 JUN · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** way progressive taxation can help to reduce poverty for a country such as the US. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)** • It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recovery, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Subsidies are payments by the government to suppliers that reduce their costs • Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives • The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines • Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits • Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China • It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies **AO4** • However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term • Subsidies can be expensive for the US Government and may divert funds away from other important priorities • Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies • There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US • Therefore, this may make the use of subsidies an inefficient use of resources by the US Government	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 17 of 23 · Question 2 part d · 2 marks

2024 JUN · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** For basic needs to be met A is not correct because it is not a legal requirement for a government to do this B is not correct because this will increase inequality D is not correct because this will increase poverty	**(1)**

Question Number	Which **one** of the following is a benefit of using gross domestic product (GDP) as a measure of growth? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **D** It is easy to compare economic growth between countries A is not correct because it does not measure how economic growth is distributed amongst the population B is not correct because it does not take into account all economic activity C is not correct because it does not take into account inflation	**(1)**

Question Number	What is meant by the term deflation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition A reduction **(1)** in the general level of prices for goods and services **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

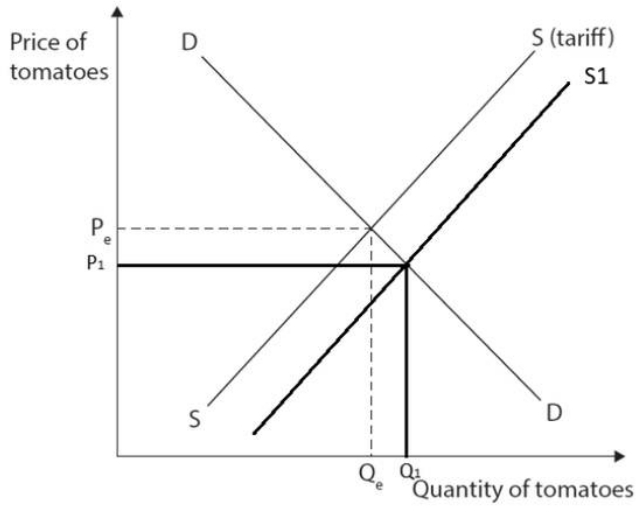
Question Number	Describe the impact of a reduction in the cost of communication on globalisation. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the impact and 1 mark for the development of the impact One impact is an increase in globalisation **(1)** because firms can communicate/trade with each other more easily **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **invisible trade balance** in $bn for the country. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for export of services – import of services $26bn - $16bn **(1)** Award 1 mark for the correct answer = $10bn **(1)** Award 2 marks if the correct answer is $10bn even if no calculations are shown Award 1 mark if the answer given is 10 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the removal of the tariff on the equilibrium price and quantity of tomatoes in India. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a rightward shift of the supply curve, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** reason why governments use fines. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that it can deter individuals/firms from breaking the law **(1).** Very high fines of $1m will negatively affect the individuals/firms **(1)** this is likely to encourage individuals/firms to make sure they follow the law so people do not get injured **(1)** • One reason is that it can raise revenue for the government **(1).** Fines imposed on firms that break laws can be very high **(1)** and can give the government money to spend on compensating people affected by laws being broken **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse how high levels of cost-push inflation affect business confidence in a country such as Türkiye. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Higher energy costs of 157.2% can raise production and transportation costs resulting in an increase in raw material prices and overall costs of production • Higher production costs can lead to lower profits for firms in Türkiye • This is because firms may not be able to pass on the full cost of inflation to consumers in the form of higher prices reducing business confidence • When costs rise faster than firms can adjust their prices, profit margins get squeezed reducing business confidence • Firms may struggle to plan for the future. This is because they are not sure what energy prices will be like in the future causing uncertainty • This uncertainty can erode business confidence as firms are unsure about the future success of their operations	**(6)**

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 18 of 23 · Question 1 part g · 3 marks

2024 NOV · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	Which **one** of the following is a rise in the value of an exchange rate in a floating exchange rate system? **Answer**	Mark

3(a)	**AO1 1 mark** The only correct answer is: **C** Increases the production of goods and services A is not correct because subsidies will increase government spending B is not correct because subsidies support domestic production rather than increasing imports from other countries D is not correct because subsidies are likely to increase trade disputes rather than reduce them	**(1)**

Question Number	The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130. Calculate the new price of the basket of goods and services. **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** £1 300 A is not correct because this is £1 200 + 10 C is not correct because this is £1 200 + 130 D is not correct because this is £1 200 + 120 + 130	**(1)**

Question Number	Explain the likely impact on productivity of this change in business taxes for a country such as Italy. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in productivity **(1).** Firms can keep more of the profit earned allowing them to invest in new technology/training **(1).** This will enable the firm to be more efficient/increase output per worker **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 19 of 23 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Regulations are rules made by a government or other authority in order to control the way something is done or the way people behave • Regulations can help to prevent pollution by setting standards for firms and individuals to follow • For example, the CAA has set standards for environmental quality such as air quality standards in the US • These standards can limit the amount of pollutants that can be released into the environment by cars, trucks and buses therefore protecting the environment • Governments can enforce these regulations to ensure that firms and individuals comply with them • There are negative consequences for firms if they do not follow regulations so many firms do comply with them	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 19 of 23 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether income tax is a reliable source of government revenue for a country such as Australia. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Income tax is levied on personal income • Income tax represents 47% of total revenue and is the largest source of revenue for the Australian Government • This can help to provide a stable and reliable source of revenue for the Australian Government allowing for effective budget planning and public service provision • Income tax revenue plays a critical role in funding essential public services such as healthcare, education, and social welfare programmes ensuring a high standard of living for Australian citizens • Australia's income tax system is progressive, meaning higher-income individuals pay a larger portion of their income in taxes • This helps reduce income inequality and promotes social equity **AO4** • However, income tax revenue can be dependent on how many workers are actively participating in the Australian economy and paying income tax • Income tax revenue could fall in times of recession or when there are high levels of unemployment restricting the amount available to the Australian Government for public services • Higher income tax rates can discourage work, investment, and entrepreneurship, potentially reducing economic growth and job creation • There are many other sources of revenue which are also reliable for the Australian Government • Sales tax contribute 14% towards the revenue received and relies on consumption rather than employment	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 19 of 23 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 19 of 23 · Question 3 part d · 6 marks

2024 NOV · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage change in GDP for India between 2021 and 2022. You are advised to show your working. **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 20 of 23 · Question 2 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** The only correct answer is: **A** W -1.5 B is not correct because this shows unitary elasticity C is not correct because it shows inelastic demand D is not correct because it is perfectly inelastic	**(1)**

Question number	Which **one** of the following is the formula for calculating average cost? **Answer**	**Mark**
2(b)	**AO1 1 mark** The only correct answer is: **A** Total cost ÷ quantity produced B is not correct because only fixed cost is included C is not correct because only variable cost is included D is not correct because revenue is not used in this calculation	**(1)**

Question number	Calculate the **profit or loss** for the firm for each calculator. You are advised to show your working. **Answer**	**Mark**
2(c)	**AO2 2 marks** Award 1 mark for showing the correct calculation $12.50 - ($3.25 + $4.58) **(1)** Award 1 mark for calculating correct profit = $4.67 **(1)** Award 2 marks if profit is correctly calculated as $4.67, even if no calculations are shown Award 1 mark if the answer given is 4.67 with or without calculations shown Do not award marks for a formula	**(2)**

Question number	What is meant by the term patent?	**Mark**

Type MS · Regulation, fines and pollution permits

Answer 20 of 23 · Question 2 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

	Answer	
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A licence to be the only producer **(1)** of a newly designed product **(1)** Accept any other appropriate response	**(2)**

Question number	Describe **one** advantage to a firm of being privatised. Answer	Mark
2(e)	**AO1 2 marks** Award 1 mark for reference to the advantage and 1 mark for development of the advantage The firm is able to set its own objectives **(1)** as it takes control over its own actions **(1)** Accept any other appropriate response	**(2)**

Question number	Explain **one** reason why the US Government may use fines to reduce the negative externalities caused by motorists who drive through a red traffic light. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • It may encourage the driver to stop. **(1)** As driving through a red traffic light may cause accidents, **(1)** fines are likely to reduce the number of accidents **(1)** • It may reduce accidents **(1)** because the driver does not want to be fined, **(1)** so they are less likely to drive through a red light **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 20 of 23 · Question 2 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess whether a car manufacturer always benefits from using division of labour. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • By using division of labour each worker at the car manufacturing firm can specialise on a single part of the production process, such as inspection or testing • This means they can become more skilled at that particular task and removes the need to move around the factory as much • Employees are therefore much faster, increasing efficiency and reducing cost per unit for firms • Therefore, car dealers buying the vehicles and their customers can be sold the cars more quickly and/or at lower prices, potentially leading to higher revenue for the car manufacturing firm **AO4** • However, employees may find repeating the same task boring, especially if it is something straightforward such as welding a specific component • Therefore, they may actually become demotivated instead and this could increase staff turnover • This could lead to a decrease in productivity and/or higher costs for the car manufacturer if it needs to replace employees • Mistakes or slow production at one stage (such as painting) may hold up a later stage and therefore customers would still need to wait for their car orders

Type MS · Regulation, fines and pollution permits

Answer 20 of 23 · Question 2 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 20 of 23 · Question 2 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question number	Which **one** of the following could cause a shift in the demand curve for a product? **Answer**	**Mark**

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **B** A construction worker not finding work during the monsoon period A is not correct because this is an example of structural unemployment C is not correct because this is an example of cyclical unemployment D is not correct because this is an example of voluntary unemployment	**(1)**

Question Number	Which **one** of the following is likely to cause cost-push inflation? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the prices of raw materials paid by producers A is not correct because this is more likely to cause demand-pull inflation B is not correct because this affects the supply-side but it is not a direct cause of cost-push inflation D is not correct because this stimulates demand rather than increasing production costs	**(1)**

Question Number	What is meant by the term current account deficit? **Answer**	Mark
1(c)	**AO1 2 marks** Award 2 marks for a correct definition When the value of imports **(1)** exceeds the value of exports **(1)** Accept any other appropriate response	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

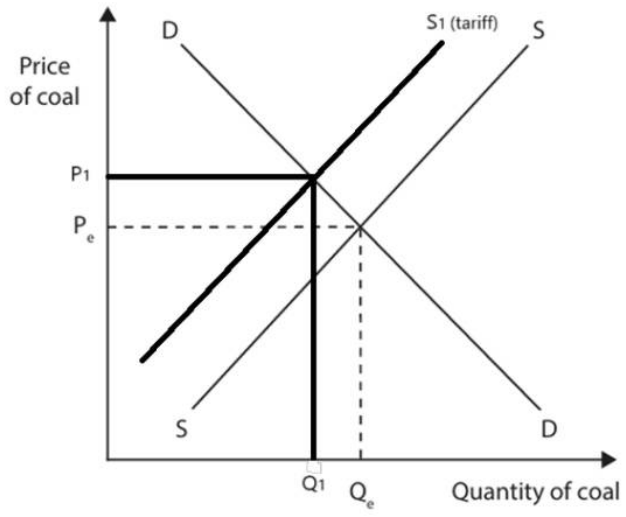
Question Number	Describe **one** benefit to a country of using quotas for imported goods. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the benefit and 1 mark for the development of the benefit One benefit is quotas can protect domestic industries **(1)** due to restricting the quantity of certain imports **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK-manufactured smartphone priced at £750 when the exchange rate is £1 = €1.18. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for calculation of the price in euros 750 × €1.18 **(1)** Award 1 mark for the correct answer = €885 **(1)** Award 2 marks if the correct answer is €885 even if no calculations are shown Award 1 mark if the answer given is 885 even if no calculations are shown Do not award marks for the formula.	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of coal in China. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Explain **one** possible benefit of using pollution permits to protect the environment for a country such as the UK. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that the health of UK citizens will be improved **(1).** Fewer available permits make airlines find ways to adopt cleaner technologies/improve efficiency. **(1)** This will help to reduce air pollution **(1)** • One benefit is that air pollution will decrease **(1).** This is because airlines are limited in how much they can pollute **(1)** so they must reduce their emissions to stay within limits **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of using GDP as a measure of economic growth for a country such as India. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP helps to understand the size and overall economic health of India • This makes it easier to assess how well the Indian economy is doing and whether it is growing or shrinking • India's GDP growth rate of 7.2% in 2023 allows for easy comparison with other major economies, showing its position and progress on a global scale • The GDP growth figures, of 7.2% in 2023 and forecasted 6.9% in 2024, help the government assess the effectiveness of its economic policies • Rising GDP signals more income/output, helping the Indian government plan for infrastructure, health or education spending • Generally, if India's GDP is increasing, it means people might be earning more and living standards could be improving	**(6)**

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 21 of 23 · Question 1 part g · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	The percentage of income tax paid by an individual in a progressive tax system **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 22 of 23 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

	Answer	
3(a)	**AO1 1 mark** The only correct answer is: **B** They reduce overall pollution by setting emission limits A is not correct because pollution permits are designed to cap emissions at a certain level C is not correct because firms must adhere to the limits set by pollution permits or face penalties D is not correct because pollution permits encourage the use of clean energy to reduce the need for permits	**(1)**

Question Number	An economy has a national output of €300bn and its current account deficit is €15bn. What is the current account deficit as a percentage of national output? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **C** 5% A is not correct because this is €15bn/€300bn B is not correct because this is €300bn - €15bn/100 D is not correct because this is €300bn/€15bn	**(1)**

Question Number	Explain **one** reason why some people might suffer from structural unemployment in a country such as China. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is having the wrong skills **(1).** Young graduates have skills for higher skilled jobs rather than lower skilled jobs **(1)** therefore they cannot find jobs that match their qualifications **(1)** Accept any other appropriate response	**(3)**

Type MS · Regulation, fines and pollution permits

Answer 22 of 23 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • With inflation at 4%, the cost of inputs such as raw materials, labour and energy is likely to increase for small firms • To maintain margins, these firms might need to pass these costs onto consumers, necessitating regular price updates and thereby increasing menu costs • With inflation rising, firms may need to adjust their prices more frequently to keep up with increasing costs for raw materials, labour and other expenses • This means more frequent updates to menus, price lists and advertising materials leading to higher menu costs • This can be particularly challenging for small firms with limited resources	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 22 of 23 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Reducing income tax rates to 23% and 33% may motivate people to work additional hours or seek better-paying jobs, knowing they will keep more of their income • More favourable tax conditions might encourage those not currently working, including young people, to enter the workforce • With less income going to taxes, individuals might be willing to work more hours or take on additional jobs, increasing overall labour supply • Lower taxes might attract skilled workers from abroad boosting productivity and innovation in the Italian workforce • As firms benefit from individuals having more disposable income and potentially investing, this can lead to job creation, further encouraging employment **AO4** • However, reducing taxes might lead to a significant loss in government revenue, affecting public services and investment • Less tax revenue could mean cuts to crucial public services like healthcare, education or infrastructure affecting the quality of life for the citizens of Italy • The higher rate of income tax remains at 43% meaning those with the highest incomes may not feel incentivised to work harder • While there might be immediate boosts to the economy, the long-term effects of reduced government revenue could lead to economic challenges • Other factors like job availability, wages, working conditions and childcare may have a more substantial impact on employment decisions than tax rate changes	**(9)**

Type MS · Regulation, fines and pollution permits

Answer 22 of 23 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Regulation, fines and pollution permits

Answer 22 of 23 · Question 3 part a · 1 mark

2025 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage decrease** in the number of single-use plastic bags sold in the UK between 2021 and 2023. You are advised to show your working. **Answer**	Mark

Type MS · Regulation, fines and pollution permits

Answer 23 of 23 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 1 of 5 · find part c in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in single-use plastic bags sold in the UK $\frac{133 \text{ million} - 197 \text{ million}}{197 \text{ million}} \times 100$ **(1)** **OR** $\frac{-64 \text{ million}}{197 \text{ million}} \times 100$ = 32.49% **(1)** Award 2 marks if the correct answer is 32.49% even if no calculations are shown Award 1 mark if the answer given is 32.49 even if no calculations are shown No marks for formula	**(2)**

Type MS · Regulation, fines and pollution permits

Answer 23 of 23 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how business activity can damage the environment in a country such as the UK. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer spending can lead to significant environmental damage particularly as this accounts for 26% of emissions in the UK • When consumers purchase goods, such as food and clothes, firms have to use energy to make these goods often using fossil fuels • Fossil fuels pollute the air with the energy sector accounting for 17% of emissions in the UK • The production and transportation of goods cause air, water and noise pollution from factories and vehicles • For example, factories may release harmful chemicals into rivers and trucks carrying products release exhaust fumes into the air damaging the environment	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Regulation, fines and pollution permits

Answer 23 of 23 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of using regulation to protect the environment for a country such as the UK. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Regulation can provide direct control over harmful activities such as using single-use plastics by an outright ban resulting in immediate compliance by firms and consumers • Regulations establish clear standards and rules that must be followed providing certainty for firms and consumers • The new regulations will ensure firms and consumers adopt more sustainable practices • For example, banning certain types of single-use plastics encourages the use of more sustainable or reusable alternatives • Following regulations should result in less damage to the environment and reduce the 2.7 billion single-use plastic items used in England **AO4** • However, firms that produce or use single-use plastics may face significant costs to switch to alternative materials, particularly for small takeaway shops and food firms • Small firms might find it especially difficult to absorb the costs of transitioning away from single-use plastics and may not have the resources to quickly find or afford alternative products • Firms and consumers have less flexibility in choosing convenient and often cheaper single-use options • Ensuring that every retailer and firm in the food industry complies with the ban could be challenging and costly to monitor • There is a risk of non-compliance if the ban is not enforced consistently or the fine is not high enough • Overall, there are a number of ways the UK Government can protect the environment with regulation being used together with taxation and fines	**(12)**

Type MS · Regulation, fines and pollution permits

Answer 23 of 23 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Regulation, fines and pollution permits

Answer 23 of 23 · Question 4 part c · 12 marks

2025 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

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